

and then use their influence to force management changes and restructuring. A third type of event-driven fund is venture capital. Venture funds invest in start-up companies.

- *Directional or tactical strategies.* The largest group of hedge funds uses directional or tactical strategies. An example of a directional fund is a commodities trading advisor (CTA). CTAs use charts and mathematical models to identify trends in global futures markets. CTAs may go long or short a market to profit from both rising and falling futures prices. A second example of a tactical fund is a macro fund. These are fundamentally driven “top-down,” big-picture bets on currencies, interest rates, commodities, and global stock markets.

[Table 10-3](#) lists the three major categories of hedge funds and the major strategies within each category. [Table 10-3](#) represents only a sample of hedge fund types and strategies. The number of strategies is limited only by the imagination of people in the investment industry.

TABLE 10-3

Hedge Fund Categories and Strategies

Arbitrage Strategies	Event-Driven Strategies	Directional/Tactical Strategies
Fixed-income arbitrage	Mergers and acquisitions	Equity long/short
Convertible arbitrage	Distressed securities	Managed futures (CTA)
Special situations	Venture capital	Macro strategies

The Problem with Hedge Funds

Hedge funds have a certain sex appeal. The secretive nature of the business, the allure of high potential returns, and the low correlation with stocks and bonds—it is all very enticing. However, in this author’s opinion, much of the hype surrounding the role of hedge funds in a portfolio is misplaced. For most individual investors, the disadvantages of high cost, low disclosure, lack of diversification, illiquidity of some funds, and poor consistency of performance far outweigh the benefits.

Since hedge funds are largely unregulated, the managers are not required to report their holdings or performance to the public. There are